

ERP Transformation Strategy and Implementation Recommendations

Executive Memo to the Executive Team

Prepared for: Alpha Manufacturing Group (AMG) Executive Team

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Executive Summary

Alpha Manufacturing Group's fragmented technology landscape is constraining operational efficiency, financial visibility, and profitability. The current 20-year-old ERP, disconnected engineering database, isolated business systems, and heavy reliance on spreadsheets create operational delays, inconsistent data, and limited visibility into project costs. These issues are especially significant in AMG's engineer-to-order business, where accurate Bills of Materials (BOMs), engineering changes, and cost tracking directly influence project delivery and margins.

To achieve the Board's objectives, I recommend implementing a modern cloud ERP through a phased transformation programme focused on business continuity, disciplined scope management, and strong data governance. This approach minimizes implementation risk while improving manufacturing performance, financial transparency, and enterprise-wide decision-making. By prioritizing core operational capabilities at go-live and deferring lower-priority enhancements, AMG can deliver a successful ERP transformation within the planned twelve-month timeframe while establishing a scalable digital foundation for future growth.

Strategic Transformation Approach

The ERP replacement should be treated as a business transformation initiative rather than a technology upgrade. The programme should pursue five strategic objectives:

- Replace the legacy ERP with a unified cloud platform.
- Integrate engineering and manufacturing to improve BOM accuracy.
- Increase visibility into project costs, labour utilisation, and contribution margins.
- Strengthen enterprise-wide data governance and reduce manual spreadsheet dependence.
- Deliver the transformation with minimal disruption to daily operations.

Recommended Delivery Approach

Phase	Timeline	Key Activities
Discovery & Design	Months 1-2	Business process review, requirements gathering, data cleansing, governance setup, implementation planning

Core ERP Deployment	Months 3-7	Finance, Procurement, Inventory Management, Manufacturing, MRP, master data migration
Engineering Integration & Testing	Months 8-11	BOM integration, Engineering Change Notices (ECNs), end-to-end testing, user training and acceptance
Go-Live & Stabilisation	Month 12	Production deployment, hypercare support, performance monitoring, continuous improvement planning

A phased implementation reduces operational risk, allows progressive validation of business processes, and provides opportunities to address issues before full deployment.

Implementation Scope & Sequencing

Maintaining strict scope discipline is essential to delivering the programme on schedule while protecting business operations.

Day-One Go-Live	Deferred After Go-Live
Finance (GL, AP, AR)	Advanced CRM integration
Procurement	Predictive analytics and AI capabilities
Inventory Management	Advanced workflow automation
Manufacturing & MRP	Non-essential custom reports
Engineering BOM Integration	Additional third-party integrations
Sales Order Processing	User interface enhancements

This sequencing ensures that business-critical capabilities are operational from day one while avoiding unnecessary complexity during the initial deployment.

AMG should adopt a configuration-first approach, using standard ERP functionality wherever practical. Customisation should only be approved where it delivers measurable business value or satisfies essential operational or regulatory requirements. Any requested scope changes should be reviewed through a formal Change Control Board to prevent scope creep and protect project objectives.

Data & Reporting Strategy

A successful ERP implementation depends on reliable, well-governed data and uninterrupted access to business information.

Area	Recommendation
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Historical Data	Migrate the most recent three to five years of transactional and financial data into the new ERP while securely archiving older records in a searchable read-only repository.
Reporting During Transition	Maintain executive dashboards and KPI reporting using both legacy and new ERP data until reporting accuracy has been fully validated.
Month-End Close	Perform at least one parallel financial close using both systems before retiring the legacy ERP to ensure reporting accuracy and business continuity.

Leadership should continue monitoring key performance indicators throughout implementation, including contribution margin, labour utilisation, inventory accuracy, manufacturing cycle time, BOM accuracy, and on-time delivery performance.

Key Risks and Mitigation

Risk	Potential Impact	Mitigation
Poor data quality	Reporting inaccuracies and operational disruption	Early data cleansing, master data governance, business ownership
Scope creep	Cost overruns and delayed delivery	Formal Change Control Board and executive approval process
User resistance	Reduced adoption and productivity	Structured change management, communication, and role-based training
Integration failure	Manufacturing delays and inaccurate BOMs	Early integration testing and phased validation
Go-live disruption	Production delays and customer impact	Detailed cutover planning, contingency procedures, and dedicated hypercare support

Recommendation

AMG should proceed with a phased cloud ERP implementation that prioritises operational continuity, engineering integration, and financial transparency. The recommended approach balances business value with delivery risk by focusing initial deployment on core operational capabilities, limiting unnecessary customisation, and implementing strong governance throughout the programme.

This strategy directly addresses AMG's current operational challenges, improves profitability visibility, strengthens data quality, and establishes a scalable technology platform capable of supporting future business growth. Most importantly, it enables the organisation to modernise its operations while maintaining uninterrupted service to customers and protecting critical manufacturing activities throughout the transformation.